

The Value Range Worksheet

Run the haircut on your own building before a lender or a buyer runs it for you. Trailing 12 months, rent roll, and your loan statement in front of you.

An apartment building has three values, not one. A lender, a buyer, and a broker each rebuild your income before they price it, and normalization almost always reduces it. This worksheet runs the same arithmetic in three steps: normalize NOI, apply three cap rates for a range, then test the coverage that decides what a lender will actually fund.

Step 1. Normalized NOI

START WITH THE TRAILING 12 MONTHS. USE ACTUAL FIGURES WHERE YOU HAVE THEM AND THE ASSUMPTION WHERE YOU DO NOT.

1	Gross scheduled rent at full occupancy, plus recurring other income		_____
2	Vacancy and credit loss. Use a 5 percent factor even if the building is full today	-	_____
3	One-time income you have been counting as recurring: late-fee spikes, laundry bumps, insurance proceeds	-	_____
4	Operating expenses, normalized to what a building of this age and size costs to run	-	_____
5	Management fee at about 6 percent of gross rents, even if you self-manage	-	_____
6	Capital reserve for roof, boilers, and major systems, funded on paper even if yours is not	-	_____
Normalized NOI. The only income figure a lender or a buyer prices			= _____

Lines 2, 5 and 6 are the adjustments owners never see coming. Under-market rents stay at the lease number; the upside belongs in the buyer's column, not yours.

Step 2. The range

VALUE = NOI DIVIDED BY CAP RATE. THREE CAP RATES, THREE VALUES.

Conservative: lender's view, higher cap rate _____

Base: broker's view, today's trade cap rate for your submarket _____

Optimistic: buyer's view, lower cap rate, upside credited _____

Example: \$500,000 of NOI at a 5 percent cap rate is a \$10 million building. At 6 percent, \$8.33 million. The market did not move; the divisor did.

Step 3. The coverage test

NORMALIZED NOI DIVIDED BY ANNUAL DEBT PAYMENTS, PRINCIPAL PLUS INTEREST.

Annual debt service on the current or proposed loan _____

DSCR = normalized NOI ÷ annual debt service _____

1.30 or above: cushion. A refinance conversation is worth having now.

1.20 to 1.30: inside the range with nothing spare. Expect the lender's value below yours.

Under 1.20: improve income before you call a lender. The loan gets sized to the gap.

The rule: every \$1,000 of defensible NOI is worth roughly \$10,000 of borrowing capacity at a 1.25 coverage floor, and \$16,000 to \$20,000 of building value at a 5 to 6 percent cap rate. Small movements in NOI produce large movements in value, in both directions. Send this worksheet with your rent roll and trailing 12 months and Shafiq returns the three-number range with the assumptions written out. This is an advisory estimate, not an appraisal.